GLORIA MUGAURI
and
ENOCK MANYERE
versus
TROPICAL RESOURCES ECOLOGY PROGRAMME (TREP TRUST)
and
UNIVERSITY OF ZIMBABWE
and
PAUL MAPFUMO N.O

HIGH COURT OF ZIMBABWE
TAKUVA J
HARARE, 17 November 2025 and 26 March 2026

Court Application

M Seremani, for the applicants
No appearance for the 1st respondent
T Chagudumba, for the 2nd and 3rd respondent

TAKUVA J: This is a court application to piece the corporate veil. The applicant seeks the following order;

> "1. The application for piercing the corporate veil is hereby granted.
> 2. The Applicants be and hereby granted leave to execute the order granted in case NO. HCH 2927124 against the University of Zimbabwe and Paul Mapfumo N.O as the Vice Chancellor of the University of Zimbabwe.
> 3. Respondents to pay costs of suit."

BACKGROUND FACTS

The Applicants, Gloria Mugauri and Enock Manyere, were at all material times employed by the first Respondent, Tropical Resources Ecology Programme Trust ("the Trust"). The Trust was established on 26 June 2002 by University of Zimbabwe, which acted as settlor.

During the course of their employment, disputes arose between the Applicants and the Trust, culminating in proceedings before a Labour Officer. On 17 September 2021, a determination was issued in which the Applicants succeeded against the Trust but the

University of Zimbabwe was absolved of liability on the basis that there was no privity of contract between it and the Applicants.

The Labour Officer's ruling was subsequently registered with the Labour Court under Case No. LCH 532/21, resulting in an order issued on 27 September 2022. That order confirmed relief against the Trust only, and not against the University. Notwithstanding this position, the Applicants later sought quantification of damages under Case No. LCH 77/23 and obtained an order which, at one stage, purported to extend liability beyond the Trust. However, this position was challenged, and on 20 May 2024, Justice Hove issued an order correcting the position, effectively removing any liability attributed to the University.

Following these developments, the Applicants successfully registered the judgment sounding in money with the High Court. The present application arises from the Applicants' attempt to enforce that judgment.

The Applicants contend that, notwithstanding the formal separation between the Trust and the University of Zimbabwe, the Trust was in reality controlled and operated by the University. They allege that the trustees of the Trust were senior employees of the University, including the Vice Chancellor, and that the Trust's operations were conducted within the University's structures, including the Faculty of Science. They further aver that the Trust's auditors were engaged through the University, that its meetings were chaired by the Vice Chancellor, Paul Mapfumo, and that its assets were administered through the University.

On this basis, the Applicants argue that there exists such a close nexus between the Trust and the University that the Trust is merely an alter ego of the University. They accordingly seek an order piercing the corporate veil of the Trust so as to hold the University liable for the judgment debt.

The Respondents oppose the application. The Respondents contend that the Trust was a separate legal entity, duly constituted in terms of a Trust Deed, and administered independently by its trustees. They deny that the University exercised such control as would justify piercing the corporate veil.

The Respondents further aver that the Applicants were, at all times, employees of the Trust and not of the University, and that this position was conclusively determined by the Labour Officer in 2021. They argue that the present application is an impermissible attempt to circumvent that earlier determination.

In addition, the Respondents raise several points in limine. Firstly, they contend that the matter has prescribed, as the facts upon which the Applicants rely were known to them as early as September 2021. Secondly, they argue that there has been a misjoinder of parties, in that the trustees of the Trust, whose conduct is directly implicated, have not been cited. Thirdly, they submit that the matter involves material disputes of fact which cannot be resolved on the papers.

On the merits, the Respondents deny that the Trust was owned by the University, asserting that a trust, by its nature, is administered by trustees for the benefit of beneficiaries and is not owned by any person or entity. They further maintain that the involvement of University officials in the Trust's governance structures does not negate the Trust's separate legal personality.

The central issue emerging from these facts is whether, in the circumstances of this case, the corporate veil of the Trust ought to be pierced so as to hold the University of Zimbabwe liable for the obligations of the Trust. The court address the points in limine raised first and if they are not dispositive of the matter, proceed to the merits.

ISSUES FOR DETERMINATION

The following issues arise for determination:

1. Whether the Applicants' claim has prescribed.
2. Whether there is a fatal misjoinder or non-joinder of parties.
3. Whether there are material disputes of fact incapable of resolution on the papers
4. Depending on the foregoing, whether the Applicants have established a proper basis for piercing the corporate veil.

POINTS IN LIMINE

(a) Prescription

The Respondents contend that the Applicants' claim has prescribed, arguing that the cause of action arose in September 2021 when the Applicants became aware of the material facts and the identity of the alleged debtor. Reliance is placed on the principle articulated in *Peebles* v *Dairiboard Zimbabwe (Pvt) Ltd* 1999 (1) ZLR 41 (H), that prescription begins to run when a creditor has knowledge of the material facts giving rise to the debt.

The Applicants, on the other hand, argue that the present matter is not a labour dispute but a civil application aimed at enforcing a High Court order issued under case number HCH2927/24. They submit that prescription cannot arise in respect of a judgment debt which is recent.

It is trite that prescription runs from the moment a cause of action arises. However, in casu, the relief sought is not the original labour claim but the enforcement of a judgment of this Court. A judgment debt constitutes a distinct cause of action. The Applicants' cause of action, properly characterised, arises from the existence of a subsisting court order in their favour.

The Respondents' argument conflates the original labour dispute with the present proceedings. While it may be correct that the Applicants were aware of the material facts as early as 2021, the present proceedings are predicated upon a judgment obtained thereafter. The enforcement of a court order cannot be defeated on the basis that the underlying facts were known at an earlier stage. Accordingly, the point *in limine* based on prescription is without merit and is hereby dismissed.

(b) Misjoinder / Non-Joinder

The Respondents argue that there has been a fatal non-joinder in that the trustees of the first Respondent have not been cited, notwithstanding that the application challenges the conduct of the trustees and seeks, in effect, to disregard the Trust's separate existence.

They rely on authorities such as *Musemwa & Ors* v *Estate Late Misheck Tapomwa & Ors* HH 136/16, which emphasize that a trust has no separate legal personality and that proceedings involving a trust must be instituted by or against its trustees.

The Applicants contend that the trustees were employees or functionaries of the second Respondent and acted not in their personal capacities but as extensions of the second Respondent. On that basis, they argue that citing the trustees was unnecessary.

The law is clear that a trust is administered through its trustees, in whom its rights and obligations vest. As a general rule, trustees are necessary parties to proceedings affecting the trust. However, each matter must be considered in light of its peculiar facts and the nature of the relief sought.

In *casu*, the Applicants do not seek relief against the trustees personally. Rather, they seek to pierce the corporate veil on the basis that the Trust is an alter ego of the second

Respondent. The focus of the inquiry is therefore the relationship between the Trust and the 2nd Respondent, not the personal liability of the trustees.

While the trustees may well have an interest in the proceedings, the failure to cite them is not, in the circumstances of this case, fatal. The central issue can be determined as between the cited parties. This point *in limine* is accordingly dismissed.

(c) Material Disputes of Fact

The Respondents submit that the matter is fraught with material disputes of fact, particularly regarding the control, administration, and operations of the Trust, which cannot be resolved on the papers without viva voce evidence. The Applicants argue that the facts are straightforward and largely documentary in nature, and that the court is in a position to determine the matter on the affidavits.

The test for determining whether a dispute of fact is material was set out in *Supa Investments (Pvt) Ltd* v *Chidavaenzi* HH 92/09, namely whether the dispute is such that the court cannot resolve the matter without further evidence. It is not every dispute of fact that warrants the dismissal of an application. The dispute must be real, genuine, and material to the issues for determination. In *Hyprop Investments Ltd and Another* v *NCS Carriers and Forwarding CC and another* 2013 (4) SA 607 (GSJ) the court broadly summarised the principal ways in which a dispute of fact arises as enunciated in *Room Hire Co (Pty) Ltd v Jeppe Street Mansions (Pty) Ltd* 1949 (3) SA 1155 (T) as follows: -

> "(a) Where the respondent denies all material allegations 'and produces or will produce, positive evidence by deponents or witnesses to the contrary';
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> (b) Although admitting the applicant's evidence, the respondent may
>
> allege other facts which the former disputes;
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> (c) Where the respondent claims lack of knowledge and puts the applicant to the proof, but produces evidence, or indicate that he intends leading evidence to demonstrate the unreliability of the of the applicant's averments and that certain essential facts are untrue."

In the present matter, much of the Applicants' case is founded on documentary evidence, including the Trust Deed, employment contracts, and minutes of meetings. While the Respondents dispute the inferences to be drawn from these documents, they do not necessarily dispute their existence.

In *Soffianti* v *Mould* 1956 (4) SA 150 (EDLD) it was stated:

> "It is necessary to make a robust, common-sense approach to a dispute on motion as otherwise the effective functioning of the Court can be hamstrung and circumvented by the most simple and blatant stratagem."

The core issue is whether, on the established or common cause facts, the requirements for piercing the corporate veil have been met. That is a legal conclusion drawn from facts, many of which are not seriously contested. I am not persuaded that the disputes raised are of such a nature as to render the matter incapable of determination on the papers. This point in limine must therefore fail.

ANALISIS

The Applicants seek the extraordinary remedy of piercing the corporate veil of the 1st Respondent, Tropical Resources Ecology Programme Trust (hereinafter "the Trust"), in order to hold the second Respondent, University of Zimbabwe, liable for the judgment debt arising from prior proceedings. The determination of this issue must begin with a restatement of the applicable legal principles.

The Applicable Legal Principles

It is now trite that a juristic entity possesses a legal personality separate and distinct from those who control or are associated with it. This principle, deeply embedded in our law, serves important commercial and institutional purposes, including certainty, predictability, and limitation of liability.

However, this principle is not absolute. In limited and exceptional circumstances, courts will disregard the separate legal personality of an entity, commonly referred to as "piercing" or "lifting" the corporate veil.

In *Cape Pacific Ltd* v *Lubner Controlling Investments (Pty) Ltd* 1995 (4) SA 790 (A) the court held;

> "The circumstances in which the court will disregard the corporate personality are not closed… the court will do so where there is fraud, dishonesty or other improper conduct."

The position was further clarified *in Mkombachoto* v *Commercial Bank of Zimbabwe & Anor* 2002 (1) ZLR 31 (H), where it was held that a court has no general discretion to pierce the veil merely because it considers it just to do so. There must be evidence that failure to pierce the veil would result in fraud or manifest injustice.

From these authorities, the following principles emerge:

1. Piercing the corporate veil is an exceptional remedy.
2. It is not enough to show control, ownership, or close association between entities.
3. There must be evidence of impropriety such as fraud, dishonesty, or abuse of the corporate form.
4. There must be a nexus between the misuse of the corporate structure and the prejudice complained of.
5. The remedy is not available merely to assist a litigant in enforcing a judgment.

Application of the Law to the Facts

The Applicants' case rests on the proposition that the Trust is not truly independent of the University of Zimbabwe, but is in fact its alter ego. They point to a number of factors which, in their view, demonstrate that the distinction between the two entities is artificial.

The Applicants rely on a constellation of factors to support their contention that the Trust is merely an alter ego of the University of Zimbabwe. They submit that the Trust was established by the University as settlor, and that its trustees included senior officials of the University, notably the Vice Chancellor, Paul Mapfumo. It is further averred that the Trust operated from premises within the University and that the Applicants' contracts of employment were issued on the University's letterhead. In addition, the Applicants contend that the University was actively involved in the financial and administrative affairs of the Trust, and that the termination of their employment was effected by a University official. Taken cumulatively, these factors are said to demonstrate that the Trust lacks genuine independence and functions merely as a conduit of the University.

The cumulative effect of these factors, according to the Applicants, is that the Trust is merely a façade behind which the University operates, and that justice demands that the veil be pierced. While these factors do demonstrate a close and perhaps even intimate relationship between the Trust and the University of Zimbabwe, they do not, without more, meet the stringent legal threshold required for piercing the corporate veil.

(i) On the Question of Control and Identity

It is not uncommon, particularly in institutional or academic settings, for trusts to be established by universities and administered by individuals who are officials within those institutions. Such arrangements are often designed to facilitate research, funding, or programme implementation.

The mere fact that the trustees of the Trust are drawn from the leadership of the University does not, in itself, render the Trust an alter ego of the University. Trustees, even where they are employees of a particular institution, are required to act in accordance with the Trust Deed and in the interests of the beneficiaries.

Similarly, the fact that the Trust operates from University premises or utilises its administrative infrastructure does not negate its separate existence. These are indicia of operational proximity, not legal identity.

As was emphasized *in The Sheriff of the High Court* v *Trinidad Contractors (Pvt) Ltd & Anor* HH 445/16, ownership and control, even complete control are insufficient grounds for piercing the corporate veil. Something more is required.

(ii) On the Absence of Impropriety

The critical question is whether the Applicants have demonstrated that the Trust was used as a device to perpetrate fraud, evade legal obligations, or achieve some improper purpose.

In this regard, the timing and purpose of the Trust's creation are instructive. The Trust was established in 2002, long before the Applicants' employment and the disputes that followed. There is no evidence to suggest that it was created as a sham or with the intention of avoiding future liabilities.

Furthermore, there is no evidence that, at the time the Applicants were employed or dismissed, the Trust was being used as a façade to conceal the involvement of the University of Zimbabwe or to evade obligations owed to the Applicants. The Applicants' argument appears to be that because the University was closely involved in the Trust's affairs, it should bear responsibility for its liabilities. However, this approach conflates involvement with impropriety. The law requires proof not merely of involvement, but of misuse.

(iii) On the Prior Determination of Liability

A further difficulty with the Applicants' case is that the issue of liability as between themselves and the University of Zimbabwe was previously determined by the Labour Officer, who found that there was no privity of contract between them.

That finding was not successfully challenged and remains part of the factual matrix of this matter. While the present application is framed differently, its effect is to seek to impose liability on the University for obligations arising from the Applicants' employment. In

substance, this amounts to an attempt to revisit an issue that has already been determined. The doctrine of piercing the corporate veil cannot be used as a mechanism to circumvent prior findings in the absence of clear evidence of abuse of the corporate structure.

(iv) On Alleged Injustice

The Applicants further argue that failure to pierce the veil would result in injustice, particularly as they hold a judgment which may be difficult to enforce against the Trust.

While this Court is not insensitive to the position of judgment creditors, it must be emphasised that the difficulty of enforcing a judgment is not, in itself, a ground for piercing the corporate veil. As was observed in the authorities cited, the remedy is not designed to provide a convenient avenue for recovery where the primary debtor is unable to satisfy the judgment. It is designed to prevent abuse of the corporate form. To hold otherwise would be to undermine the very principle of separate legal personality.

CONCLUSION

Having regard to all the circumstances of this case, I am not satisfied that the Applicants have established:

1. That the Trust was a sham or façade;
2. That it was used to perpetrate fraud or evade obligations;
3. That there was any improper conduct linked to the use of its legal personality; or
4. That failure to pierce the veil would result in manifest injustice of the kind contemplated in the authorities.

What has been established is a close institutional relationship between the Trust and the University of Zimbabwe. However, that relationship falls short of the legal threshold required to disregard the Trust's separate existence. The Applicants have therefore failed to discharge the onus resting upon them.

DISPOSITION

In the result, it is ordered that;

1. The application is dismissed.
2. The Applicants shall pay the costs of suit on the ordinary scale.

TAKUVA J:…….

J Mambara and Partners, applicant's legal practitioners
Atherstone & Cook, second and third respondent's legal practitioners